

We need to understand cash as a percentage of total assets and cash as a percentage of total working capital. We see that the company's cash swelled up in FY20 as they were saving cash for acquisition. Cash as a percentage of assets went down once the company completed its investment.



*We also need to understand the purpose of excess cash and the cash management ideology.*

It is important to understand why the company is hoarding cash. In other words, to understand the psychology of the management behind maintaining surplus cash. We can look into historical data on how the company has gone about managing its cash balances. We can even look into cash flow statement to understand this better.



Historically, it is seen that the company has paid large dividends and buybacks and bought another company.



With this chapter, we complete the items that show the company's short-term health. In the next chapter, we will start with Non-current Assets and Non-current Liabilities, which show the company's long-term health.

*company's short term health*

*company's long term health*